industries such as machine tools used for further production. It may also be called a heavy industry because it uses large quantities of bulky raw materials and its products are also heavy.

Iron is extracted from iron ore by smelting in a blast furnace with carbon (coke) and limestone. The molten iron is cooled and moulded to form pig iron which is used for converting into steel by adding strengthening materials like manganese.

56. Statement I: CORRECT—Cotton textile industry has three sub-sectors, i.e., handloom, power loom and mill sectors. Handloom sector is labour-intensive and provides employment to semi-skilled workers. It requires small capital investment. Why did Mahatma Gandhi propagate Khadi as part of the independence movement? This sector involves spinning, weaving and finishing of the fabrics.

The power loom sector introduces machines and becomes less labour intensive and the volume of production increases. Cotton textile mill sector is highly capital intensive and produces fine clothes in bulk.

Statement II: CORRECT—Cotton textile manufacturing requires good quality cotton as raw material. India, China, USA, Pakistan, Uzbekistan, Egypt produce more than half of the world's raw cotton. The UK, NW European countries and Japan also produce cotton textile made from imported yarn. Europe alone accounts for nearly half of the world's cotton imports. The industry has to face very stiff competition with synthetic fibres hence it has now shown a declining trend in many countries.

57. Statement I: CORRECT—Manufacturing industries not only help in modernising agriculture, which forms the backbone of our economy, they also reduce the heavy dependence of people on agricultural income by providing them jobs in secondary and tertiary sectors.

Statement II: CORRECT—Industrial development is a precondition for eradication of unemployment and poverty from our country. This was the main Philosophy behind public sector industries and joint sector ventures in India. It was also aimed at bringing down regional disparities by establishing industries in tribal and backward areas. Export of manufactured goods